

The Fund CHASERS

After a year, corporate India is back with plans to raise \$6 billion from domestic and global markets. The capital will, however, refinance debt and clean up books.

By Malini Bhupta

Still a month ago, no punter or investor worth his salt would have dreamed of buying shares of the second largest real estate player in the market, Unitech, which also has the dubious distinction of being one of the most leveraged companies in the sector. Even as analysts were busy writing the company's obituary, five large foreign institutions picked up nearly 15 per cent in Unitech for \$325 million through a Qualified Institutional Placement (QIP) in mid-April. QIP is a process by which a company sells securities other than warrants to large institutions. These securities are issued to qualified institutional buyers on a discretionary basis.

The Unitech QIP has become a landmark of sorts as it clearly indicates that there is still global demand for Indian paper—be it debt or equity—despite risk aversion. Taking a cue from Unitech and Tata Capital, which raised Rs 1,500 crore through a non-convertible debenture issue in February, corporate India has lined up plans to raise about \$6 billion over the

RATAN TATA

TATA MOTORS

PURPOSE: To part-finance the Jaguar Land Rover acquisition

MODE: Through non-convertible debentures with a full bank guarantee from SBI



Rs 3,800 crore

next two months. Says Sunil Ladha, senior vice-president, capital markets, at ICICI Securities: "While this is a positive trend, a lot depends on its sustainability. If it continues for two quarters then it means there is buoyancy in the market and that eventually initial public offers (IPOs) too will come back."

The India fundamentals story, which got derailed last year due to a liquidity crisis, may get revived if the fund-raising plans of companies materialise. According to a Credit Suisse report, if Indian companies succeed in raising \$10-15 billion over the next few months, corporate fundamentals could push the market substantially higher by 2010. In the last one year, Indian companies have found it rather difficult to raise foreign capital due to the global financial crisis. In the last one month, though, the tide has turned slightly with positive economic data flowing from developed economies.

Within weeks of five FIIs picking up a stake in Unitech, even the secondary market has rebounded with foreign inflows touching \$2.3 billion in fiscal 2009. The first 10 days of May alone have seen inflows of \$1 billion.

Despite the surge in the secondary market, few companies across sectors are looking to tap capital markets. Given that most valuations are still much lower than peak levels, promoters are preferring to raise debt rather than dilute their stakes at these levels. Companies that are heavily leveraged, however, are left with no option but to dilute equity at these levels. Those who are choosing to do this are mostly from sectors that are finding it hard to raise debt. Explains Anshul Krishnan, head of India Financing Group, leading the capital markets business at Goldman Sachs India: "Most companies in India are still family-owned and equity dilution remains a key consideration for promoters. Equity dilution is, therefore, happening sooner in those sectors where liquidity is tighter or near-term needs are substantial, like real estate and infrastructure." So raising equity capital in this environment would be

ANAND MAHINDRA

Tech Mahindra

PURPOSE: To expand the Satyam acquisition

MODE: Allotment of non-convertible debentures

Rs 600 crore

KUMAR MANGALAM BIRLA

Aditya Birla Nuvo

PURPOSE: To finance financial services business and improve the debt-equity ratio

MODE: Issuance of equity in domestic or international markets

Rs 1,000 -1,500 crore

HEMANT PITHWA